BBA II YEAR
SEC : E
ASSIGNMENT NO-1

Business Finance — Unit 1: Introduction to Finance & Time Value of Money

Course: BBA — Business Finance	**Max. Marks:** 10	**Date of Submission : 29/07/26**	**Weightage:** Internal Assessment

Instructions to Students

Attempt ALL questions. This assignment carries a total of 10 marks.

Show complete working for all numerical questions; marks are allotted for method as well as the final answer.

Use the formulae discussed in class. State any assumptions made regarding the discount rate or time period.

SECTION A —| (6 Marks)

Question	CO	K-Level	Marks
Q1. Explain the meaning of the **Finance Function** of a business firm. Briefly state its two broad decision areas.	CO1	K1	2
Q2. Distinguish between **Profit Maximisation** and **Shareholder Wealth Maximisation** as objectives of financial management. (Any two points of difference)	CO1	K2	2
Q3. Explain the relationship between **Present value and the Discount rate**. Use a suitable example to illustrate how a change in the discount rate affects the present value of a future sum.	CO2	K2	2

SECTION B — PRACTICAL / NUMERICAL (4 Marks)

Question	CO	K-Level	Marks
Q4. Mr. Arjun deposits **50,000** in a fixed deposit earning 8% p.a. compounded annually. Calculate the terminal (future) value of the deposit at the end of 4 years.	CO2	K3	2
Q5. Answer any ONE of the following: (a) A bond of face value 1,000 carries a coupon rate of 9% p.a. (annual payment) and has 3 years to maturity. If the required rate of return is 10%, calculate the value of the bond.	CO2	K3	2

(b) A company's share is currently priced at 80. It just paid a dividend of 4 per share, and dividends are expected to grow at a constant rate of 6% p.a. forever. Using the perpetual dividend growth model, calculate the investor's expected rate of return from the stock.

— End of Assignment —